

Journal Entry Approval Matrix

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This version supersedes SOP-JE-001 effective 2024-06-01. Apply these thresholds to all manual journal entries posted on or after the effective date.

Purpose

This matrix defines who must approve a manual journal entry based on its dollar value. It replaces the prior matrix to reflect updated segregation-of-duties requirements.

Approval Thresholds

Journal Entry Amount (USD)	Required Approver
Up to 5,000	Senior Accountant
5,001 to 50,000	Property Controller
Above 50,000	Chief Financial Officer

What Changed From the Prior Version

Self-approval by the preparing accountant is no longer permitted at any dollar amount. Every manual journal entry now requires approval by someone other than the preparer. The Controller threshold ceiling increased from 10,000 to 50,000, and entries above 50,000 now require CFO approval.

Documentation

Each manual journal entry must include a description, supporting backup, and the post month. Entries are posted only after the required approval is recorded in the system. Verbal approvals are not valid.

Restrictions

Manual journal entries are not used to record routine revenue or vendor expense, which must flow through the AR and AP subledgers. Reclass and accrual entries are the primary legitimate uses of a manual journal entry.